

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

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MACRO REGIME: Risk-On (Large-Cap Leadership)

VIX 15.1 (-0.8 vs 20d) | SPY 20d +2.2% | IWM 20d -3.2% | IWM/SPY trend -5.3%
Leaders: Technology (+7.5%), Comms (+0.7%), Healthcare (+0.3%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (3)
	DIOD	DAO
		MTN
		STDN

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	DIOD	Diodes Incorporat	Auto & Industrial Se	\$4.96B	\$107.74	\$110.86	2.9%	+9.7	YES	no
C	DAO	Youdao, Inc.	China EdTech AI Inte	\$2.04B	\$16.92	\$16.92	0.0%	+15.5	YES	no
C	MTN	Vail Resorts, Inc	Premium Leisure Cons	\$5.20B	\$146.06	\$147.36	0.9%	-4.9	YES	no
C	STDN	Standard Nuclear,	Nuclear Renaissance	\$2.45B	\$15.27	\$15.30	0.2%	-3.9	YES	no

DIOD

Diodes Incorporated

\$107.74

Pivot \$110.86 | 2.9% away

RS vs SPY: +9.7%

B BUILDING

\$4.96B Cap | 45M Float

Analog & Discrete Semiconductors | Theme: Auto & Industrial Semi Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.75

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$110.86
% to Pivot	2.9%
Days in Base	5
Tightness	4.75 Fair
52W Hi Prox	85.5%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	552k <
Wk2	422k <
Wk3 (oldest)	580k
Coil Strength	4.7% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+9.7%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$4.96B
Float	45M sh
P/E (TTM)	57.6
Fwd P/E	18.5
Rev Growth	21.7%
Short %	8.8%
Inst. Own	-
Target Pr.	\$153.33

ENTRY TRIGGER
Close above \$110.86 on volume >80% of 20-day avg (~450K shares)
Target: \$128.00 (measured move from 15% base depth; aligns with analyst mean target of \$153 as stretch goal)
Stop: \$98.00 (base low and 200-day MA; invalidates the VCP structure)

CATALYST INTELLIGENCE
EARNINGS
November 05 - Street consensus: EPS ~\$1.35-1.45 (up from \$0.46 YoY), Revenue ~\$420-430M. Forward P/E of 18.5x implies significant earnings acceleration priced in, with EPS expected to triple from TTM \$1.87 to FWD \$5.83. Last 4 quarters: mixed pattern with beats on revenue but margin compression concerns. Recent guidance trend: maintained; management cited inventory normalization completing by Q4 2026. Catalyst Impact: Earnings / High-a beat with guide-up would confirm the cyclical inflection thesis.
BUSINESS & POSITION
Diodes designs and manufactures application-specific standard products (ASSPs) including diodes, rectifiers, transistors, MOSFETs, and analog ICs serving automotive, industrial, computing, and consumer end markets. The company holds a strong #2-3 position in discrete semiconductors with particular strength in automotive power management and USB-C/PD controllers.
FACTOR & THEME
Exposed to the automotive electrification and industrial automation capex cycle, both of which are recovering after 2024-2025 inventory corrections. Sector sentiment is accelerating-Technology leads all sectors at +7.5% over 20 days, and peer analog semis (ON, NXPI) have broken out, providing positive read-through for DIOD's automotive-heavy mix. The reshoring theme provides secondary tailwind as domestic auto OEMs diversify supply chains.
NEWS FLOW
No major contract wins or M&A announcements in last 60 days. Industry backdrop: auto semi peers (ON Semi, NXP) reported better-than-expected Q3 results with improving bookings commentary, supporting the inventory restocking narrative. DIOD presenting at Needham Growth Conference in late October-potential for incremental color on design win pipeline. No index events imminent.
INSTITUTIONAL
Volume dry-up is partial-vol_w1 (552K) < vol_w2 (421K) suggests some contraction but vol_w3 (580K) was elevated, indicating base is still being contested rather than quietly accumulated. No insider activity in the last 60 days (baseline for the sector). Institutional ownership data unavailable from this feed. Short interest elevated at 8.8% with 4.1 days to cover-a beat-and-raise could trigger short covering, but equally a miss would accelerate selling pressure. Known semi-focused funds (Dragoneer, Tiger) not visibly accumulating based on recent 13F data.
KEY RISK
Thesis invalid on a close below \$98.00 (the base low and 200-day MA confluence), or on a revenue miss/guide-down at the November 05 print that signals inventory correction extending into 2027. Customer concentration risk: top 10 customers represent ~35% of revenue, primarily Tier 1 auto suppliers exposed to EV demand volatility.

Solid semi-cycle recovery play with sector leadership tailwind (+7.5% Tech), but VCP structure is imperfect: vol dry-up is not strictly stair-stepping (vol_w3 > vol_w2), base_tight at 4.75 is loose, and RS line is not at new high. Earnings catalyst in 30 days is meaningful but base needs another 1-2 weeks of tightening. Strongest disconfirming argument: 8.8% short interest and loose base suggest smart money is not yet convinced the inventory correction is truly over-a disappointing print would trap breakout buyers. Conviction: Medium.

DIOD — 90D Base Setup | Pivot: \$110.86 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



DAO

Youdao, Inc.

\$16.92

Pivot \$16.92 | 0.0% away

RS vs SPY: +15.5%

C EARLY STAGE

\$2.04B Cap | 28M Float

Online Education & AI Learning Platforms | Theme: China EdTech AI Integration | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.18

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$16.92
% to Pivot	0.0%
Days in Base	2
Tightness	4.18 Fair
52W Hi Prox	89.3%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	24k <
Wk2	38k <
Wk3 (oldest)	61k
Coil Strength	61.5% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+15.5%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.04B
Float	28M sh
P/E (TTM)	89.1
Fwd P/E	38.8
Rev Growth	3.5%
Short %	3.4%
Inst. Own	-
Target Pr.	\$17.60

ENTRY TRIGGER

Close above \$17.50 on volume >150% of 20-day avg (60K shares)

Target: \$19.50 (measured move from base depth, prior resistance zone)

Stop: \$14.80 (below 50-day MA and recent consolidation low)

CATALYST INTELLIGENCE

EARNINGS

November 19

Volume dry-up is confirmed (61.5% contraction) but base is only 2 days old with loose base_tight of 4.18, RS line not at new high, and earnings catalyst 44 days out. China ADR regulatory overhang and lack of institutional visibility create additional friction. Strongest disconfirming argument: thin float (27.5M) in a China ADR with zero insider activity and no near-term catalyst creates high manipulation risk. Conviction: Low.

DAO — 90D Base Setup | Pivot: \$16.92 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Ski Resorts & Mountain Hospitality | Theme: Premium Leisure Consumer Resilience | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.26

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$147.36
% to Pivot	0.9%
Days in Base	19
Tightness	3.26 Fair
52W Hi Prox	89.4%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	855k <
Wk2	1476k <
Wk3 (oldest)	1023k
Coil Strength	16.4% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-4.9%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$5.20B
Float	32M sh
P/E (TTM)	35.5
Fwd P/E	22.0
Rev Growth	2.5%
Short %	29.2%
Inst. Own	-
Target Pr.	\$143.85

ENTRY TRIGGER
Close above \$147.50 on volume >100% of 20-day avg (~770K shares)

Target: \$163.00 (prior 52-week high and measured move target)
Stop: \$136.00 (below 50-day MA and base low)

CATALYST INTELLIGENCE
EARNINGS
December 09

Near pivot (0.9% away) but critical flaws: RS vs SPY is negative (-4.9%), RS line nowhere near new high, Consumer Cyclical sector is lagging, and 29.2% short interest with 9.5 days-to-cover reflects heavy bearish positioning. Earnings catalyst 64 days out provides no near-term trigger. Debt/Equity of 612% is a red flag in a rising rate environment. Strongest disconfirming argument: negative relative strength in a risk-on tape where large-caps lead means institutional capital is actively rotating away from this name. Conviction: Low.

MTN — 90D Base Setup | Pivot: \$147.36 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



STDN

Standard Nuclear, Inc.

\$15.27

Pivot \$15.30 | 0.2% away

RS vs SPY: -3.9%

C EARLY STAGE

\$2.45B Cap | 52M Float

Nuclear Services & SMR Infrastructure | Theme: Nuclear Renaissance & Energy Security | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 3.97

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$15.30
% to Pivot	0.2%
Days in Base	1
Tightness	3.97 Fair
52W Hi Prox	88.1%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	528k <
Wk2	358k <
Wk3 (oldest)	664k
Coil Strength	20.4% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-3.9%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.45B
Float	52M sh
P/E (TTM)	-
Fwd P/E	-238.3
Rev Growth	756.5%
Short %	-
Inst. Own	-
Target Pr.	\$17.56

CATALYST INTELLIGENCE
EARNINGS
November 16
Nuclear theme has secular tailwinds (AI datacenter power demand, SMR policy support) but this is a pre-revenue speculative play: P/S of 325x, negative gross margins (-57.7%), and below 200-day MA. Base is only 1 day old-far too early to assess structure quality. RS vs SPY is negative (-3.9%) indicating underperformance despite thematic momentum. Strongest disconfirming argument: speculative names with no earnings and massive valuation premiums are the first to get sold in any risk-off rotation; SMID underperforming large-caps by 5.3% creates hostile environment for this profile. Conviction: Low.

ENTRY TRIGGER
Close above \$15.50 on volume >120% of 20-day avg (~1.1M shares)
Target: \$17.50 (prior 52-week high resistance zone)
Stop: \$13.00 (below 50-day MA and recent swing low)

STDN — 90D Base Setup | Pivot: \$15.30 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

